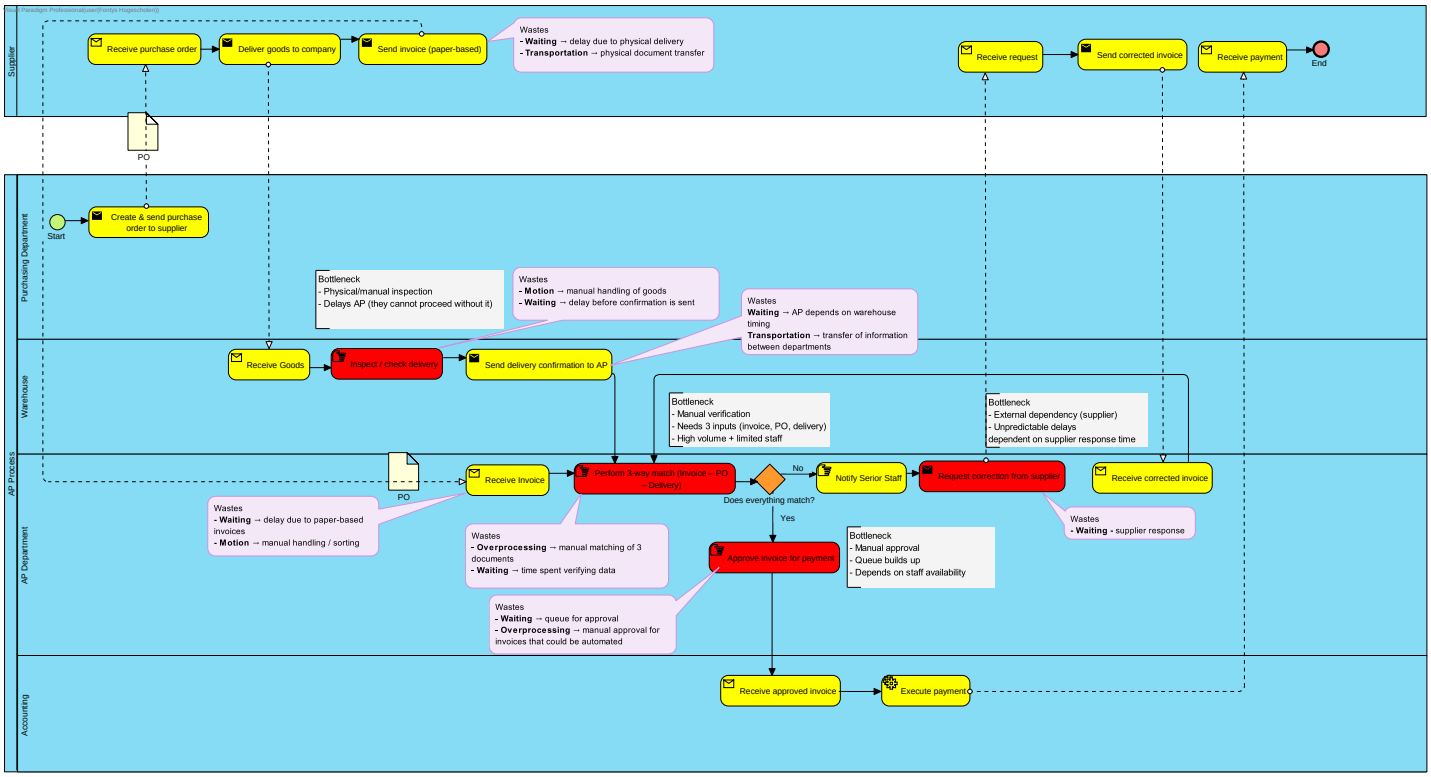

Supplier
Receive purchase order
Deliver goods to company
Send invoice (paper-based)
Wastes
- Waiting → delay due to physical delivery
- Transportation → physical document transfer
Receive request
Send corrected invoice
Receive payment
End
PO
Purchasing Department
Start
Create & send purchase order to supplier
Bottleneck
- Physical/manual inspection
- Delays AP (they cannot proceed without it)
Wastes
- Motion → manual handling of goods
- Waiting → delay before confirmation is sent
Wastes
Waiting → AP depends on warehouse timing
Transportation → transfer of information between departments
Warehouse
Receive Goods
Inspect / check delivery
Send delivery confirmation to AP
Bottleneck
- Manual verification
- Needs 3 inputs (invoice, PO, delivery)
- High volume + limited staff
Bottleneck
- External dependency (supplier)
- Unpredictable delays
dependent on supplier response time
AP Process
PO
Receive Invoice
Perform 3-way match (Invoice – PO – Delivery)
No
Notify Senior Staff
Request correction from supplier
Receive corrected invoice
Does everything match?
Yes
Wastes
- Waiting → delay due to paper-based invoices
- Motion → manual handling / sorting
Wastes
- Overprocessing → manual matching of 3 documents
- Waiting → time spent verifying data
Wastes
- Waiting - supplier response
AP Department
Approve invoice for payment
Bottleneck
- Manual approval
- Queue builds up
- Depends on staff availability
Wastes
- Waiting → queue for approval
- Overprocessing → manual approval for invoices that could be automated
Accounting
Receive approved invoice
Execute payment